

excelled in the thin. A bear's a bear—he was prepared for the Depression, but not for the great postwar prosperity.

At Montgomery Ward, he piled up cash just when he should have been expanding to compete with Sears, Roebuck & Co. And it is a cinch that he would not have believed, much less relished, the events of 1988. Desert Partners L.P., assisted by Merrill Lynch, mounted a bid for USG Corp., which USG repelled with a leveraged recapitalization. It is a sign of the times that this transaction—the leveraging of a cyclical company—provoked no general amazement.

In boom-time corporate finance, it is hard to distinguish the balance sheet of a bankrupt company from that of a newly leveraged one. Both are likely to show high indebtedness, low (or negative) net worth and modest working capital. USG unveiled its absolutely up-to-the-minute finances last year. Long-term debt was \$3 billion, and net worth was minus \$1.6 billion. The numbers made a provocative contrast not only to the 1987, investment-grade USG but also to the 1933 company, with the mossback Avery presiding. In that Depression year, equity comprised 98% of capital and current assets were 14.5 times greater than current liabilities. In comparison with the Depression-era Gypsum, the contemporary company, blessed by the greatest business expansion in postwar annals, looks as though it has been hit by a bus.

Are we crazy, or were they? Are we overleveraged, or were they underleveraged? Was Avery the crank, or is Milken? Is there ever such a thing as a new era, and, if so, could this be one?

In boom-time corporate finance, it is hard to distinguish the balance sheet of a bankrupt company from that of a newly leveraged one.

The partial answer to the last question is “yes.” There are new eras all the time. In living memory, there have been new